

**Time:** 5 minutes**Outcome:** Classify international asset purchases and trace interest-rate effects on NCO.**Difficulty:** ●●○ Intermediate

Capital Flows and Net Capital Outflow

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THE CORE IDEA

Net capital outflow equals domestic residents' purchases of foreign assets minus foreign residents' purchases of domestic assets. Positive NCO is net capital outflow; negative NCO is net capital inflow. Capital tends to move toward more attractive risk-adjusted returns. In the textbook model, a higher domestic real interest rate lowers NCO and therefore reduces the supply of dollars in the foreign-exchange market.

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HOW TO RECOGNIZE IT

- A U.S. resident buying a foreign bond raises U.S. NCO.
- A foreign resident buying a U.S. asset lowers U.S. NCO.
- Higher domestic real returns attract inflow and discourage outflow, lowering NCO.
- NCO supplies dollars to the FX market as residents acquire foreign assets.

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WATCH OUT

NCO and NX describe different transactions: assets versus goods and services. They are equal as an accounting relationship in the course model, not because every asset purchase is an export.

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WORKED EXAMPLE: CLASSIFY, THEN NET

KEY RELATIONSHIPS

- NCO = domestic purchases of foreign assets
- - foreign purchases of domestic assets
- Positive NCO = net outflow
- Higher domestic real rate → lower NCO
- In the course model: NCO = NX

U.S. residents buy \$140 billion of foreign assets; foreigners buy \$90 billion of U.S. assets. U.S. NCO is $\$140 - \$90 = +\$50$ billion, a net outflow. That positive NCO supplies dollars in exchange for foreign currency and corresponds to NX of +\$50 billion.

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CHECK YOURSELF

Foreign purchases of U.S. assets rise while U.S. foreign-asset purchases are fixed. What happens to U.S. NCO?

**READY?****Return to the game and master this concept.**